

THE EQUITY EXPRESSION OF THE ENERGY CHOKEPOINTS THESIS

The Detour Gas Cannot Take

The Strait of Hormuz has been effectively shut since 28 February. Crude transiting it averaged 4.9 million barrels a day in the second quarter, against 21.6 million in the final quarter of 2025. Yet Brent settled at \$91.60 on 12 August — high, but not the emergency the arithmetic implies.

Asian spot gas, meanwhile, trades near \$21 per million British thermal units while American gas sits at \$2.60. One blockade has produced an orderly oil market and a broken gas one.

The question has changed. For five months the market asked when the strait reopens. A deal is now close — and reopening will not fix the thing that is actually broken.

A reframe worth holding onto

Stop reading the chokepoint as a single event with a single price. Read it as two separate problems that happen to share a map.

Crude is a routing problem. It is a liquid at ambient temperature, any hull can carry it, and two large pipelines already run around the obstacle. Gas is a plant problem. The ship, the plant that fills it and the plant that empties it form one purpose-built machine — and part of that machine has been on fire since March.

Routing problems resolve when the route reopens. Plant problems resolve when the plant is rebuilt. Those are different calendars, and the market is currently pricing one of them.

Method. External figures carry an as-of date and come from primary and market sources, listed in full at the end. Internal figures would normally come from the Heyokha research Wiki, attributed to the named provider and labelled as views rather than forecasts. **The Wiki was unreachable during this automated run** — the research server did not respond and the desktop archive could not be mounted — so this edition carries no internal house view. Every judgement below is therefore attributed to the named external analyst who made it. See "Limitation on the internal view".

Consider a mountain town reached by a single tunnel. Coal for the power station arrives by lorry through it. When the tunnel closes, the coal goes over the pass — a road three times as long and slow, but a road. Lorries are lorries, and coal is still coal at the far end. The town pays more for heat, and the trade press reports the crisis easing. What it misses is the second thing that came through the tunnel: a buried pipe carrying gas. There is no pass for a pipe. To move that gas by road you would first build a plant at one end to chill it to minus 162 degrees, commission a fleet of vacuum-flask lorries that do not exist, and build a second plant at the other end to warm it back into something a burner can use. None of that is improvised in a season. So the lorries roll over the pass, the coal price normalises, the traffic report turns optimistic — and the town's boilers stay cold. That is the Gulf in August 2026: the oil found the pass, and the gas is still waiting for a plant.

THE STORY IN 60 SECONDS

4.9 mb/d

Crude transiting Hormuz in Q2 2026, against 21.6 mb/d in Q4 2025 — a 77% cut held for a full quarter. July shut-ins averaged 5.5 mb/d.

US Energy Information Administration, Short-Term Energy Outlook, 11 August 2026.

\$21 vs \$2.60

Asian spot LNG (JKM) against US Henry Hub, per MMBtu, week to 7 August 2026. European TTF sat at \$18.80. One molecule, priced eight times apart.

Weekly gas price review, week of 3–7 August 2026.

\$181,700

Frontline's contracted Q2 2026 VLCC rate at 82% coverage, against \$103,500 in Q1 — the strongest tanker quarter since 2004. Longer voyages, not more cargo.

Frontline Q1 2026 results and Q2 booking disclosure.

WHAT ACTUALLY HAPPENED

Five months of a closed strait, and two very different markets

On 28 February 2026 traffic through the Strait of Hormuz collapsed, and it has not meaningfully recovered. A public tracker compiling IMF PortWatch transit counts and AIS data recorded one vessel transiting on 9 August, against a pre-crisis baseline near 73 a day. The Lloyd's Market Association counted 111 transits by vessels over 10,000 deadweight tonnes across the whole of March, split 78 eastbound and 33 westbound. Whatever the legal position, the commercial position has been closure.

Crude adapted, imperfectly but genuinely. Saudi Arabia ramped Petrolina — 1,200 kilometres from the Eastern Province to Yanbu on the Red Sea — to its full 7 million barrels a day emergency capacity by 11 March. The UAE pushed crude through the 380-kilometre Habshan-Fujairah line to the Gulf of Oman, outside the strait. Against roughly 20 million barrels a day of normal throughput, the combined realistic bypass ceiling is 3.5 to 5.5 million. The gap did not close; it was filled from elsewhere. American shale exports rose, strategic reserves were drawn down, Chinese refinery runs fell, and India absorbed more discounted Russian barrels. Demand did work that supply could not.

The bypass has a constraint the pipeline headline hides. Yanbu's terminals were built for a Red Sea trickle, not a Gulf-scale flood: nominal loading capacity is about 4.5 million barrels a day, tested nearer 4 million and closer to 3 million in wartime — and Aramco routes roughly 2 million to its own Red Sea refineries before a single export cargo sails. Fujairah can absorb only around 440,000 barrels a day beyond what it handles, despite spare capacity in the pipe feeding it. The infrastructure was, as one engineering assessment put it, sized for a disruption measured in days or weeks.

Gas had no equivalent. Qatar's Ras Laffan complex — 77 million tonnes a year of liquefaction, roughly 19% of world LNG exports in 2025 — declared force majeure in March after Iranian strikes, then suffered a further explosion on 22 June that injured 54 people. No pipeline carries Qatari LNG around Hormuz, because the thing that makes gas shippable at all is the liquefaction plant itself, and that plant sits inside the blockade. The EIA recorded no laden LNG vessels crossing between 1 March and 24 April. Roughly 10 billion cubic feet a day, about a fifth of global trade, simply stopped.

THE ESSENTIAL DISTINCTION

A closed strait is not one shock priced in two commodities. It is a *routing* problem in oil and a *plant* problem in gas. Crude re-routes because crude is a liquid at ambient temperature and any hull will take it. Gas cannot re-route, because the ship, the plant that fills it and the terminal that empties it are a single machine built to one specification — and no detour exists for a machine.

THE MECHANISM

Following one cargo of Qatari gas to the place it stops

1 · Liquefaction

Gas must be chilled to -162°C to shrink 600-fold into a shippable liquid. That happens only at Ras Laffan: 77 mtpa of trains, damaged in March, struck again on 22 June. No plant, no cargo.



2 · The ship

LNG moves only in purpose-built carriers with cryogenic containment; a crude tanker cannot substitute. Qatar's fleet has spent months idle or waiting off Oman, unable to load.



3 · The transit

Every Qatari cargo must pass Hormuz. There is no westward pipe, no overland route, no other loading port. One vessel transited on 9 August against a baseline near 73 a day.



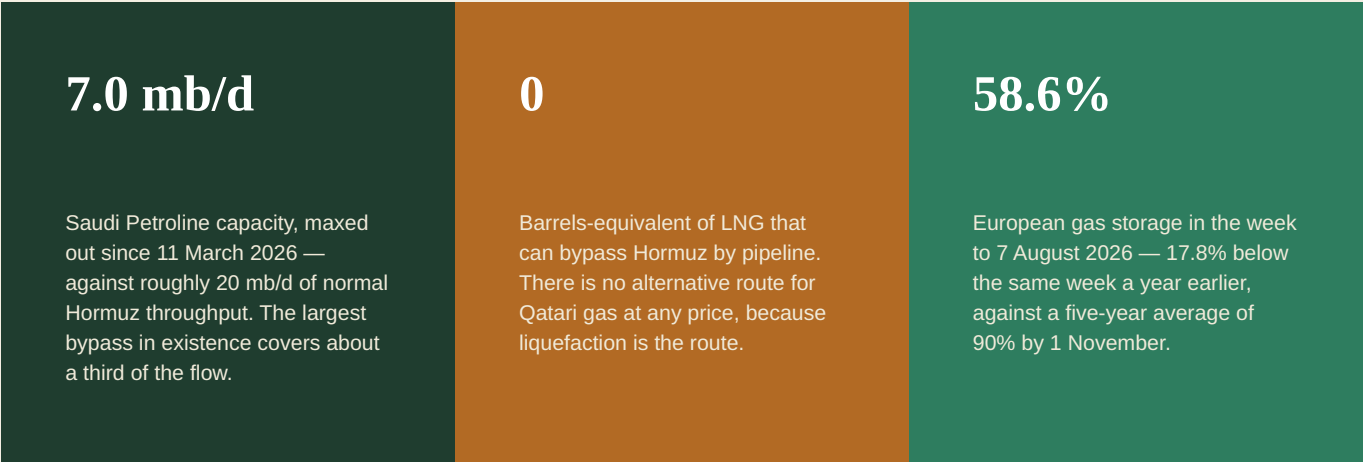
4 · Regasification

A terminal must warm it back to gas, and a buyer must pay the clearing price. At \$21/MMBtu, Pakistan and Bangladesh cannot. Demand is not deferred but destroyed, and the cargo is bid to Europe.

Sources: QatarEnergy disclosures, March and June 2026; EIA Today in Energy, LNG transit observations for 1 March–24 April 2026; Kpler, 4–5 March 2026; Wood Mackenzie South Asia LNG note, March 2026. Step 4 pricing as of the week to 7 August 2026.

Each step is a hard physical gate, and the chain fails at whichever gate is shut first. This is why the two prices have decoupled so completely. An oil barrel blocked at Hormuz takes a longer path at higher freight cost; the molecule still reaches a refinery. A gas molecule blocked at Ras Laffan is not delayed but absent from world supply until the plant is repaired — and Wood Mackenzie's view, a view rather than a forecast, is that Qatar does not reach full capacity before the second half of 2027, with the market rebalancing only from 2028.

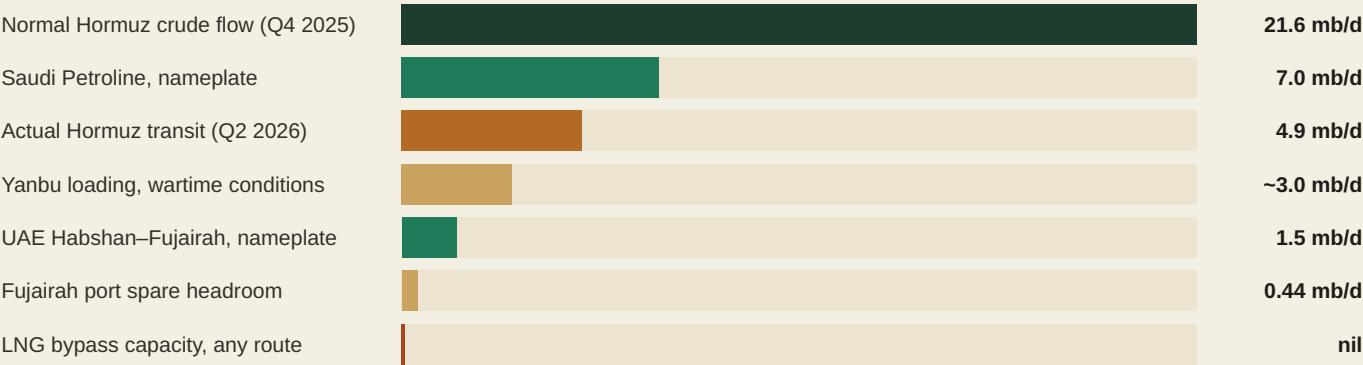
The second-order consequence is where the money has moved. The barrels that do reach Asia now come from the Atlantic basin, and a voyage from the US Gulf to Ningbo is roughly three times the distance of one from Ras Tanura. Tanker demand is measured in tonne-miles, not tonnes: fewer cargoes travelling much further has produced the strongest crude tanker market in two decades without any rise in the volume consumed. The same logic applies to gas, where the arbitrage between \$2.60 at the wellhead and \$21 in Asia is now the most profitable spread in the energy complex.



Sources: Engineering News-Record bypass infrastructure assessment and pipeline capacity reporting, March 2026; EIA Short-Term Energy Outlook, 11 August 2026; weekly gas price and storage review, week of 3–7 August 2026; Wood Mackenzie European storage note, late July 2026.

THE COMPARISON THE ARGUMENT TURNS ON

What can be re-routed, and what must simply be replaced



Bars are illustrative and scaled to the Q4 2025 Hormuz baseline; they compare stated engineering capacities with an observed flow and are not a supply-demand balance. Nameplate pipeline capacity is not the same as deliverable export volume — the Yanbu and Fujairah rows exist precisely to show where the binding constraint sits downstream of the pipe. Sources: EIA Short-Term Energy Outlook, 11 August 2026 (flow figures); Engineering News-Record and pipeline trade reporting, March–May 2026 (capacity figures).

A USEFUL MENTAL MODEL

Price the constraint, not the headline. A blockade headline sets one narrative for a whole region, but the constraint is specific, physical and different for every molecule that crosses the line. Ask of any disrupted trade: *is the scarce thing the route, the vessel, the plant, or the buyer's ability to pay?* The answer tells you both how long the dislocation lasts and which company's income statement it lands on.

THE SHIFT

What has actually changed

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Oil normalised without the strait reopening	Brent at \$91.60 on 12 August, with the EIA projecting an average near \$85/b in Q3 2026, \$78 in Q4 and \$69 in 2027 — a declining path, forecast during an active blockade.	It proves the oil system has real redundancy, which is reassuring. It also means a reopening deal removes what remains of the risk premium, and the EIA's own path already assumes normalisation by early 2027.
Gas did not normalise at all	JKM near \$21/MMBtu and TTF at \$18.80 in the week to 7 August, against Henry Hub at \$2.60. European storage 58.6% full, 17.8% below a year earlier.	The spread is the profit pool for US exporters and the pain for Asian importers. But high prices are themselves demand destruction, and destroyed demand does not always return when prices fall.
Tanker economics were rebuilt on distance	Frontline booked Q2 VLCCs at \$181,700/day against \$103,500 realised in Q1. International Seaways realised a blended spot rate of \$79,000/day in Q2 against \$27,500 a year earlier.	Tonne-mile inflation is genuine and has produced record cash. It is also the most reversible part of the thesis: the distance premium unwinds the moment cargoes take the short route again.
The forward book is already softening	International Seaways has 48% of Q3 revenue days booked at roughly \$61,000/day blended, against the \$79,000 blended spot rate realised in Q2.	It may be conservative early-quarter fixing with room to improve, as management suggested. It is also, on its face, a material step down disclosed by the company in the middle of a record quarter.
South Asian demand is being rationed by price	Pakistan drew almost all its 6.6 Mt of 2025 LNG imports from Qatar and has cancelled 35 cargoes for 2026. Bangladesh has imposed four-hour daily gas cuts to CNG stations.	It relieves the global balance and helps Europe refill storage. It also transfers an industrial recession to countries whose textile and fertiliser sectors are their export base.
The repair timeline outruns the political one	QatarEnergy indicates roughly 50% capacity within a month of safe navigation and 80% within two — but full restoration is put beyond H2 2027, with damage estimated at up to five years to repair.	A diplomatic settlement could arrive within weeks and restore most oil flows quickly. It would not restore the liquefaction trains, so a reopening headline may compress oil and tanker equities while leaving gas tight.

Bull and bear, stated fairly

The bull case

- **The scarcity is structural, not a spike.** Wood Mackenzie's view is that no significant new LNG supply arrives for nine to twelve months and the market may not rebalance before 2028. That is a multi-year window, not a headline trade.
- **The cash is already banked, not projected.** International Seaways posted record Q2 adjusted net income of \$295m, record adjusted EBITDA of \$345m and record free cash flow of \$261m, and paid \$5.05 a share — 85% of adjusted earnings. Cheniere raised full-year EBITDA guidance to \$7.90–8.40bn from \$7.25–7.75bn.
- **The arbitrage is enormous and contracted.** Venture Global assumes a liquefaction fee of \$12.50–13.50/MMBtu on unsold cargoes and lifted full-year EBITDA guidance to \$8.7–9.1bn from \$8.2–8.5bn, on Q2 revenue up 48% and net income up 266%.
- **Balance sheets absorb a downturn.** International Seaways ended the quarter with \$935m of liquidity against roughly \$250m of net debt, and a fleet spot cash breakeven below \$14,500 a day — roughly a quarter of even its softened Q3 booking.
- **Europe must refill into a deficit.** Storage at 58.6% against a 90% five-year norm for 1 November, with Wood Mackenzie's best case at 75%, means Europe is a price-insensitive bidder through the autumn regardless of the diplomatic news.
- **Energy security is now a procurement policy, not a slogan.** Frontline's management points to Asian importers diversifying crude sourcing — a behavioural change that outlasts the blockade and permanently lengthens the average voyage.

The bear case

- **The forward book is falling faster than the narrative.** International Seaways' Q3 bookings at about \$61,000/day sit well below the \$79,000 blended spot rate it just realised. The company disclosed this itself, in its best quarter on record.
- **A deal is genuinely close.** Iran and Oman confirmed shipping coordinates in early August with an agreement described as in final drafting. Tanker equities are priced on a dislocation that both parties are actively negotiating away.
- **The official forecast is for lower oil, not higher.** The EIA's 11 August outlook has Brent falling to \$78 in Q4 2026 and \$69 in 2027, and expects trade patterns to broadly normalise by early 2027 — a bearish path published mid-blockade.
- **Demand destruction is not a pause.** South Asian LNG demand is running 2–3 Mt lower through Q3, with Wood Mackenzie assuming only half of disrupted volumes get replaced. Industrial load lost to four-hour gas curtailments may relocate rather than return.
- **The cycle is inviting its own supply.** International Seaways ordered four more LR1 newbuildings for delivery in the second half of 2028, extending a ten-vessel programme. Record rates reliably summon steel, and the steel arrives after the rates have gone.
- **The bypass thesis has not been chartered.** Management noted that despite impressive capital commitment to new Hormuz workarounds, no time charters have yet been signed for the new routes — the physical trade has not yet validated the infrastructure story.

Note what the bear case is built from. There is no internal research page arguing the sceptical side in this edition, because the Wiki was unreachable. Every bearish point above is drawn either from external reporting or from a tension inside the companies' own disclosures — the softening forward book, the newbuild orders, the absent charters and the official price path all come from the bulls' own documents. That is a deliberate construction, and readers should weigh it accordingly: it is a bear case assembled from the bull's evidence, which makes it harder to dismiss but also narrower than a properly researched opposing view would be.

WHERE THE ACCOUNTS DISAGREE

An unresolved conflict about why the ships stopped

There are two incompatible explanations in circulation for the closure, and this edition does not resolve them. The widely-repeated account holds that insurance closed the strait: war-risk premiums rose roughly thirtyfold, cover for a single VLCC passage reached around \$10m, and six protection-and-indemnity clubs withdrew coverage outright. On that reading the blockade is a financial instrument, and it lifts when underwriters return.

The insurance market itself rejects this. Lloyd's List addressed the P&I claim directly — "Great story; it's just that it isn't true" — reporting that the cancellation notices touched only charterers' liability risk extensions, that existing policies were honoured, that replacement buyback products were written at 0.04% to 0.05% of the limit purchased, and that new cover for planned voyages remained widely available at four to five times the prior week's rate. The Lloyd's Market Association went further on 23 March: 88% of surveyed members retained appetite to underwrite hull war risks and over

90% for cargo, and the reason ships were not moving was "not through a lack of insurance; it is a question of the risk to crew and vessel safety being assessed by the ship masters and owners as too high." At least eleven crew deaths had been documented.

This matters practically. If the constraint is priced insurance, a ceasefire restores traffic quickly, because underwriters re-rate within days. If it is masters declining to sail into a live weapons environment, traffic returns only when the shooting stops and stays stopped — a slower and less reliable trigger. A third possibility, consistent with both, is that headline premium quotes were real but unrepresentative of what actually traded. The evidence here does not settle it, and any position sized on a fast reopening is implicitly taking a side.

A related ambiguity runs through the transit data itself. Public chronologies record Iran declaring the strait open in April and vessels moving under a ceasefire; a live tracker counts 13 August as day 166 of continuous closure; the EIA reports a non-zero average of 4.9 million barrels a day through the second quarter. All three can be true, because "open" is a legal status, "closed" is a commercial one, and the flow figure is an average across a volatile quarter. Readers should treat any single closure statistic with care.

THE DASHBOARD

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Daily Hormuz transit counts	Vessels a day against the pre-crisis baseline near 73. A move from single digits into the twenties is the first real evidence of reopening.	This is the cleanest early indicator, and it leads both freight rates and the oil risk premium. It will move before any communiqué is signed.
The Iran–Oman transit fee clause	Whether the final text lets Iran levy charges on passage. Washington has rejected tolls outright; Tehran has proposed a service-based fee.	It is the single unresolved sticking point. A fudge that leaves fees ambiguous produces a partial, insurance-unfriendly reopening rather than a clean one.
Q3 tanker fixture disclosures	Whether the roughly \$61,000/day booked on 48% of International Seaways' Q3 days improves as the quarter fills, or sets the tone.	It is the difference between conservative early fixing and a genuine top. The remaining 52% of days will answer it within weeks.
European storage on 1 November	The percentage full at the start of the heating season, against a 90% five-year norm and a 75% best case.	It sets the floor under European and therefore Asian gas prices through the winter, and it is largely determined by physics rather than diplomacy.
Ras Laffan restart announcements	Confirmed train-by-train restarts and loaded cargo counts, not capacity intentions. QatarEnergy has framed 50% within a month of safe navigation.	This is the only thing that structurally ends the gas shortage. Everything else redistributes it. Watch loadings, not statements.
South Asian tender activity	Whether Pakistan, Bangladesh and Indian buyers return to the spot market as prices fall, or stay absent.	It distinguishes deferred demand from destroyed demand — the central uncertainty in every 2027 LNG balance, and the one most likely to disappoint.

Three postures, not one answer

Own the distance

Crude and product tankers, where tonne-mile inflation is the entire mechanism. Highest current cash generation and the cleanest link to the dislocation. **Explicit cost:** this is the posture that a signed deal damages fastest, and the forward bookings are already softer than the realised quarter. It is a bet on the disruption lasting, dressed as a bet on shipping.

Own the plant

Contracted liquefaction and regasification infrastructure, where earnings come from tolling fees rather than the spread. Slower, duller, and largely indifferent to whether the strait opens next month. **Explicit cost:** it gives up most of the crisis upside, and long-dated construction exposes it to the 2028 supply wave that the same analysis predicts.

Own the spread

US export capacity monetising the gap between \$2.60 domestic gas and \$21 Asian gas. The largest single profit pool the dislocation has created, with guidance already raised twice. **Explicit cost:** the spread is the most mean-reverting variable in the complex, and the buyers on the far side are visibly unable to pay it — which is itself the mechanism that closes it.

The companies named below are illustrative of the mechanisms discussed in this edition. They are NOT recommendations, and no view is expressed on their valuation, suitability or prospects. Figures are the companies' own reported disclosures on the dates shown.

FRO

Frontline plc — crude tankers

Q2 VLCC booked
\$181,700/day

The purest listed expression of tonne-mile inflation. Q1 2026 delivered net income of \$559.1m on revenue of \$714.2m and adjusted profit of \$344.9m — the strongest since Q4 2004 — with a \$1.55 dividend. Q1 VLCCs averaged \$103,500 a day; Q2 was booked at \$181,700 with 82% coverage, Suezmaxes at \$131,300. Management's stated view is that the closure "led to rapid shifts in trading patterns."

WATCH NEXT

Whether Q3 guidance holds near Q2 booked levels or converges toward the softer rates peers are disclosing.

INSW

International Seaways — tankers

Q2 adj. EPS \$5.91
reported Aug 2026

A record quarter, and the clearest disclosure of the turn. Adjusted net income \$295m, adjusted EBITDA \$345m and free cash flow \$261m were each records, on revenue of \$467.3m against a \$401.8m consensus. Blended spot TCE reached \$79,000 a day against \$27,500 a year earlier; profit-sharing VLCCs earned \$214,000. It paid \$5.05 a share. Yet only 48% of Q3 days are booked, at about \$61,000 blended.

WATCH NEXT

The remaining 52% of Q3 revenue days — the single most informative number in the sector this quarter.

LNG

Cheniere Energy — US LNG export

FY26 EBITDA guide
\$7.90–8.40bn

The largest American liquefier, and the main conduit for the Henry Hub-to-Asia spread. Q2 revenue of \$5.73bn produced net income of \$3.07bn, adjusted EBITDA of \$1.80bn and distributable cash flow of \$1.17bn, on 184 cargoes and 672 TBtu. Full-year EBITDA guidance rose to \$7.90–8.40bn from \$7.25–7.75bn. The first-half net loss of \$434m is a reminder that derivative marks, not operations, drive the reported line.

WATCH NEXT

Whether production tracks the tightened 53–54 Mt full-year range as terminals run near full utilisation.

VG

Venture Global — US LNG export

Q2 adj. EBITDA
\$2.5bn, +79% y/y

The most direct listed exposure to uncontracted cargo pricing, and so to the spread itself. Q2 revenue of \$4.6bn rose 48% year on year, net income of \$1.3bn rose 266% and adjusted EBITDA of \$2.5bn rose 79%, on 127 cargoes and 466.4 TBtu. Guidance was lifted to \$8.7–9.1bn from \$8.2–8.5bn on 500–518 cargoes, assuming a liquefaction fee of \$12.50–13.50/MMBtu on unsold volumes — the assumption carrying the whole model.

WATCH NEXT

The realised fee on unsold cargoes against that \$12.50–13.50 assumption as Asian spot prices move.

GLNG

Golar LNG — floating liquefaction

Q2 adj. EBITDA
\$127m · 13 Aug 2026

A structurally different exposure: floating liquefaction earns contracted tolling fees for converting someone else's gas rather than taking commodity price risk. Interim results for the period ended 30 June, published 13 August, reported adjusted EBITDA of \$127m. The relevance is conceptual as much as financial — it is the only technology that could, in principle, shorten the multi-year rebuild timelines that make this shortage structural.

WATCH NEXT

Whether the disruption converts into new long-dated tolling contracts, or merely into stated interest.

EE

Excelerate Energy — FSRUs

Q2 net income
\$50.1m · Aug 2026

Owner of floating storage and regasification units — the fourth gate in the chain above, which decides whether a country can receive a cargo at all. Q2 net income of \$50.1m compared with \$20.8m a year earlier, on adjusted gross operating profit of \$120.1m, with full-year guidance raised to \$490–515m. The *FSRU Express* was redeployed to Colombia on a seven-year agreement; committed growth capital is \$380–400m.

WATCH NEXT

Whether import-terminal demand persists once Gulf supply returns, or proves to be crisis-era contracting.

The bottom line

What was repriced over the past five months was not energy. It was distance and optionality. Crude found a longer path and the market paid for the extra sea miles, which is why tanker owners produced their best results since 2004 while the oil price stayed within a range that would have looked unremarkable in 2022. Gas found no path at all, because liquefaction is not a route that can be diverted but a factory that must be rebuilt, and so the gas market repriced the scarcity of the factory. Two commodities, one blockade, two entirely different mechanisms — and the equity market has paid handsomely for both without always distinguishing between them.

The evidence is genuinely mixed on what happens next, and the mixture is asymmetric. The oil-and-tanker side of the trade rests on a dislocation that the EIA expects to fade by early 2027, that Iran and Oman are actively negotiating away, and that the operators' own forward bookings already show softening — International Seaways disclosed a step down from \$79,000 to roughly \$61,000 a day inside its best quarter on record. The gas side rests on a plant that will not be whole before the second half of 2027 on the most-cited estimate, into a European storage season starting some thirty percentage points below its five-year norm. The reasonable inference is that a reopening headline would compress the shipping expression far more than the gas expression, and that the two are not the same trade despite sharing a map. The next test is specific and near: the remaining 52% of International Seaways' third-quarter revenue days, and whether the Iran–Oman text arrives with or without a transit fee.

Editorial note. This is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. Companies named are illustrative of the mechanisms discussed and were selected to show contrasting exposures; no view is expressed on their valuation or suitability for any portfolio. All external figures carry an as-of date and are drawn from the sources listed below; figures move and dated figures go stale. Internal Wiki material, where present, represents the opinions of the named research providers, is labelled as views rather than forecasts, and is not verified by Heyokha Brothers. **In this edition no internal Wiki material was available** — see the method note and the limitation paragraph below. Where sources conflict, the conflict is stated and left unresolved rather than adjudicated; readers should not infer that the arrangement of an argument implies a house position. Past performance and prior-quarter results are not indicative of future results.

Sources and update notes

(a) Internal sources. None were available. The Heyokha research Wiki MCP server was not connected to this scheduled run: no `list_sources`, `list_pages` or `get_page` call could be issued, so no theme page, no `last_reviewed` date, and no provider issue could be cited. The usual internal apparatus for this edition — a theme page with Thesis, bull case, bear case, Evidence and Contradictions sections, together with the two to four newest source-summary pages feeding it and

the named provider issues behind them (13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling and others) — is entirely absent. Nothing in this edition should be read as reflecting a Heyokha house view, because none was consulted.

(b) Limitation on the internal view. The standing limitation on a Wiki-sourced edition is provider concentration: a theme page typically leans on a small number of subscription research houses whose analysts share a macro disposition, so an internally-sourced bull case can look better evidenced than it is simply because three providers cite one another. This edition has the inverse problem, and it is worse. With no internal material, the interpretive load falls on a narrow set of external analysts — principally Wood Mackenzie, with supporting assessments from Kpler and Energy Aspects — plus one aggregator tracker whose insurance claims the Lloyd's market has publicly disputed. Consultancy LNG balances are themselves a concentrated view: the same firms supply the demand assumptions, the replacement-rate assumptions and the rebuild timelines, so their agreement is not independent confirmation. Company figures below are primary and verifiable; the forward-looking judgements built on them are not, and are labelled as views throughout.

(c) External sources. (1) EIA *Short-Term Energy Outlook*, 11 August 2026 (forecast completed 6 August): Hormuz crude transit averaged 4.9 mb/d in Q2 2026 against 21.6 mb/d in Q4 2025; July shut-ins averaged 5.5 mb/d; Brent projected to average about \$85/b in Q3 2026, \$78/b in Q4 and \$69/b in 2027, with trade patterns normalising generally by early 2027. (2) EIA *Today in Energy*, week ending 24 April 2026: closure affected over 10 Bcf/d of LNG supply, about 20% of global trade; no laden LNG vessels crossed between 1 March and 24 April; TTF \$14.80 and JKM \$16.02/MMBtu, up 35% and 51% from pre-closure; US exports 17.9 Bcf/d in March at 94% utilisation. (3) Weekly gas price review, 3–7 August 2026: JKM about \$21/MMBtu, TTF \$18.80 (from \$19.90), Henry Hub \$2.60; European storage 58.6% full, 17.8% below a year earlier; US storage 3,117 Bcf, 6.7% above the five-year average. (4) Wood Mackenzie, late July 2026: European storage risks finishing below 70% ahead of winter 2026/27, against a 90% five-year norm for 1 November and a 75% best case; Qatar not at full capacity before H2 2027; no significant new LNG supply for nine to twelve months; market may rebalance only from 2028. (5) Wood Mackenzie, South Asia LNG note, March 2026: India imported 26 Mt in 2025, Qatar and the UAE supplying 59%; Pakistan imported 6.6 Mt almost entirely from Qatar and cancelled 35 cargoes for 2026; Bangladesh sourced 3.6 Mt, or 63%, from Qatar and the UAE; regional demand 2–3 Mt lower through Q3 2026 with roughly half of disrupted volumes assumed replaced; Bangladesh imposed four-hour daily CNG gas cuts. (6) Kpler assessment, 4–5 March 2026: Ras Laffan's 77 mtpa halted; Qatar supplied 19% of global LNG exports in 2025 (80.97 Mt), roughly 90% to Asia. (7) Engineering News-Record bypass assessment with pipeline trade reporting, March–May 2026: Petrolina 1,200 km, 5 mb/d original and 7 mb/d emergency capacity, at full 7 mb/d by 11 March 2026; Habshan–Fujairah 380 km, 1.5 mb/d nameplate at about 71% utilisation, leaving roughly 440,000 b/d spare; Yanbu loading about 4.5 mb/d nominal, near 4 mb/d tested and about 3 mb/d in wartime, with roughly 2 mb/d routed to Aramco's Red Sea refineries; realistic bypass ceiling 3.5–5.5 mb/d against roughly 20 mb/d of normal throughput; no bypass exists for refined products or LNG; about 30% of Europe's diesel imports and half its jet fuel came from the Middle East entering 2026. (8) Lloyd's Market Association, 23 March 2026: 88% of surveyed members retained appetite to underwrite hull war risks and over 90% for cargo; 111 transits by vessels over 10,000 dwt during March, 78 eastbound and 33 westbound; at least 11 crew fatalities; reduced traffic attributed to crew and vessel safety, not insurance availability. (9) Lloyd's List: P&I cancellation notices affected only charterers' liability risk extensions, existing policies were honoured, buyback cover was written at 0.04–0.05% of the limit purchased, and new policies remained widely available at four to five times the prior week's rates. (10) Public Hormuz transit tracker compiling IMF PortWatch and AIS data, accessed 13 August 2026: 13 August recorded as day 166 since 28 February; one vessel transited on 9 August against a baseline near 73 a day; war-risk premium and P&I withdrawal claims from this source are disputed by (8) and (9) and are reported here only as the disputed account. (11) QatarEnergy disclosures and reporting, March–June 2026: force majeure in March; explosion at Ras Laffan on 22 June injuring 54, with 18 missing; roughly 50% capacity indicated within one month of safe navigation and 80% within two; damage estimated at about \$20bn a year of lost revenue and up to five years to repair. (12) Al Jazeera, 5–6 August 2026, and CNN, 8 August 2026: Iran and Oman confirmed shipping coordinates, agreement in final drafting; Iran seeks a service-based transit fee and the lifting of the US naval blockade of Iranian ports; the US demands total freedom of navigation without tolls. (13) Company results, as reported by each company; the individual figures are set out on the ticker cards above and are not repeated here. Frontline Q1 2026 release and Q2 booking disclosure; International Seaways Q2 2026 results and earnings call, August 2026 — the source of the \$79,000/day realised and roughly \$61,000/day Q3 booked rates on which much of the bear case rests; Cheniere Energy Q2 2026 release, with full-year guidance raised from \$7.25–7.75bn to \$7.90–8.40bn of adjusted EBITDA; Venture Global Q2 2026 release, with guidance raised from \$8.2–8.5bn to \$8.7–9.1bn; Golar LNG interim results for the period ended 30 June 2026, published 13 August 2026; Excelerate Energy Q2 2026 results, August 2026. (14) Price levels: Brent \$91.60/bbl on 12 August 2026, down 1.01% on the day and up 37.70% over twelve months; WTI quoted at \$81.74 and Brent at \$87.38 in premarket trade on 13 August 2026; July PPI flat month on month against a 0.2% expected rise, with the twelve-month rate at 4.7%; the S&P 500 cleared 7,800 for the first time on 13 August 2026. The two Brent quotations differ by benchmark timing and source and are reported separately rather than reconciled.

(d) Editorial choices in this automated run. Three tool failures shaped this edition and the reader should know all three. First, the Heyokha Wiki MCP server was not connected, so the prescribed topic-selection procedure — scoring entities across sources published in the last twenty-one days, weighting title mentions, then ranking active theme pages — could not be run at all. The topic was instead selected from external evidence of what is live and unresolved this week, which is a weaker and more subjective method, and the resulting theme name, *Energy Chokepoints*, may not correspond to an actual Wiki page title. Second, the desktop bridge to the *HB Wiki Learning* archive folder was unavailable, as it always is for scheduled runs, so the thirty-day cooldown check could not be performed against real filenames. The cooldown set used here contains only the two editions supplied as known priors — *AI Capex* of 4 August and *Gold Miners* of 5 August — and today's topic avoids both. Any edition published between 6 and 13 August is invisible to this run, so a repeat within that window cannot be excluded; if this topic has already run, it should be reissued. Third, no market-data API was reachable, so every price and company figure was verified through web search and primary company releases rather than a data terminal, which is why prices carry as-of dates rather than intraday timestamps and why the two Brent quotations above are left unreconciled. The topic was chosen because the Hormuz closure passed its 166th day this week with an Iran–Oman agreement in final drafting, making it both the live macro catalyst and the case where the gap between the headline and the underlying mechanism is widest. The tension the edition is built to surface — record shipping profits disclosed alongside materially softer forward bookings — comes from the companies' own filings rather than from any third-party bear thesis, for the simple reason that no internal sceptical view was available to consult.